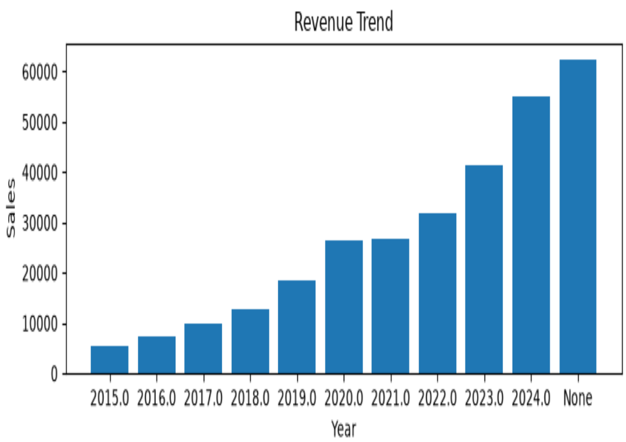
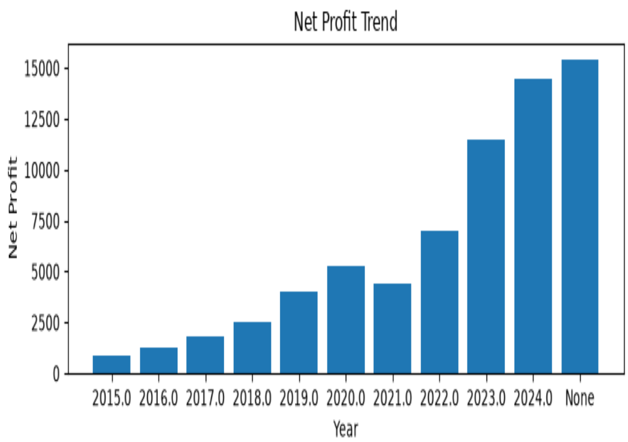
Bajaj Finance Ltd

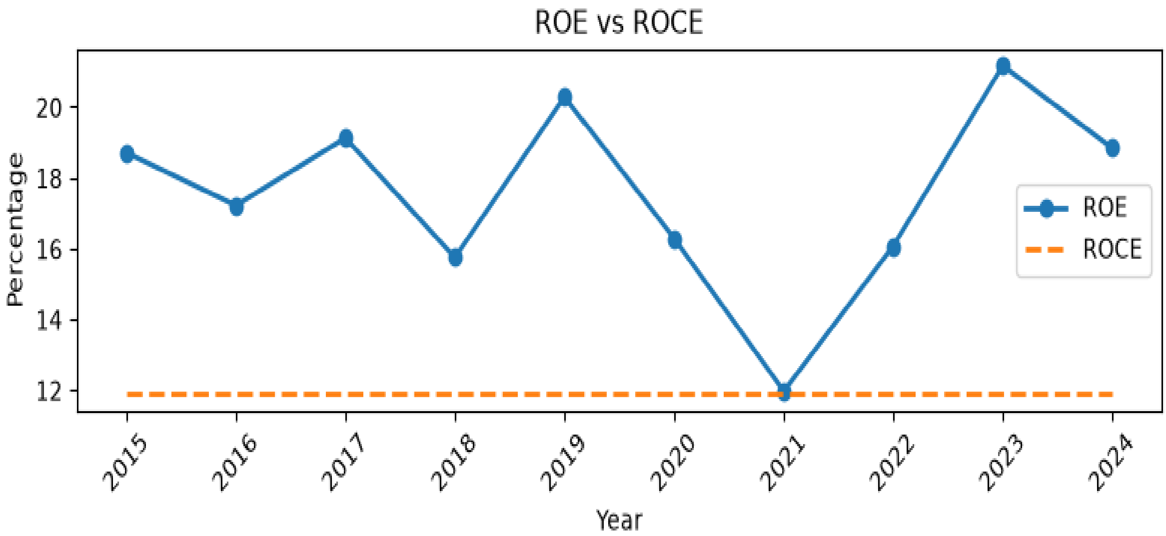
Investment Summary

Overall Rating	★■■■■
Quality Score	14/100
Financial Health	Weak
Capital Allocation	Growth Funded by Debt
Recommendation	AVOID

10 Year Financial Trends







Capital Allocation Pattern

Growth Funded by Debt

ROE	18.84%
ROCE	11.90%
NPM	26.29%
OPM	29.29%
D/E	3.82
EPS	233.00

Pros

• Revenue growing at above 15% CAGR over 5 years reflects strong business momentum.

• Operating profit margin above 25% indicates strong pricing power and cost discipline.

• Net profit compounding at above 20% over 5 years creates significant shareholder value.

• Very high interest coverage ratio reflects negligible financial stress from debt servicing.

• Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.

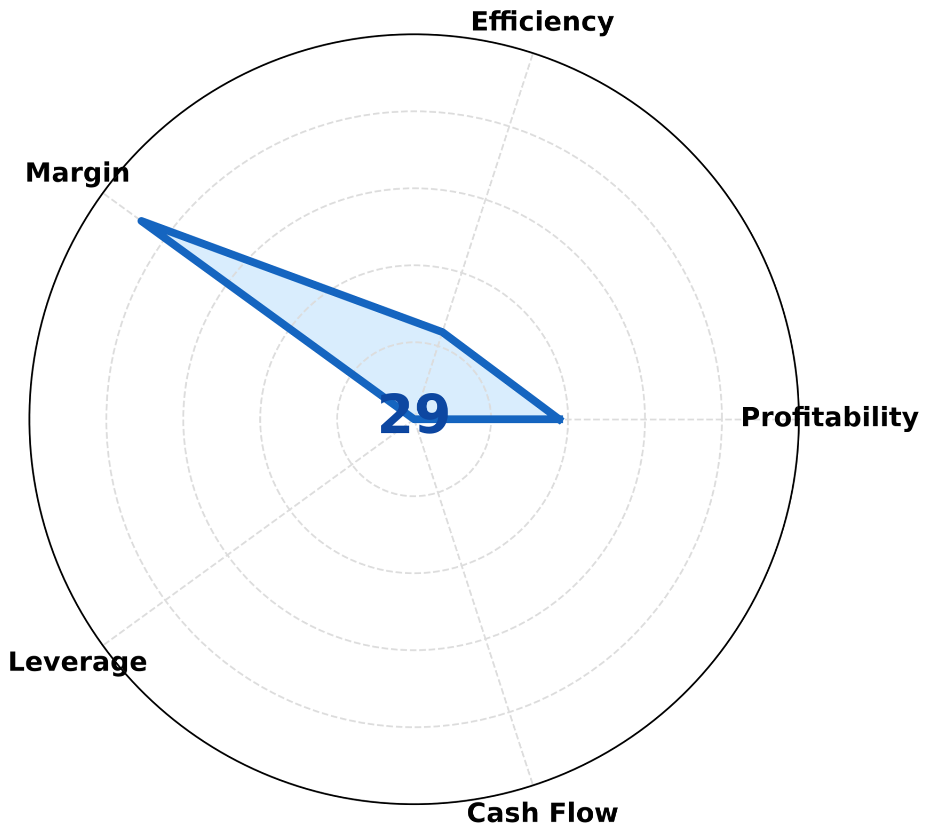
Cons

• Debt-to-equity ratio of 3.82 is elevated and warrants monitoring.

• Free cash flow negative for 3 consecutive years raises concern about cash generation quality.

• Operating margins declining for 3 consecutive years suggest pricing or cost pressure.

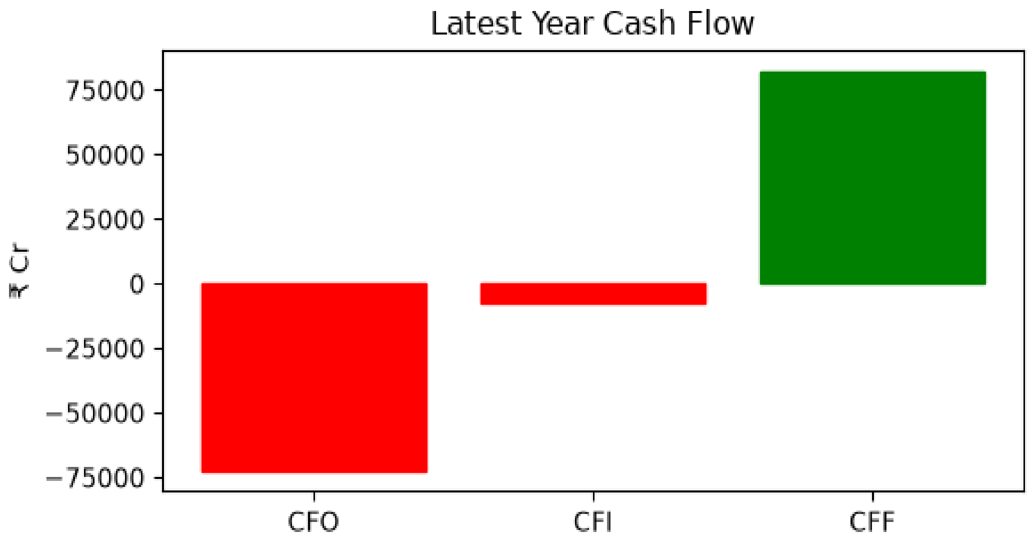
Financial Strength Radar



Peer Comparison

Rank	Company	ROCE	ROE	NPM	D/E
1	**Bajaj Finance Ltd**	**11.90%**	**22.10%**	**26.29%**	**3.82**
2	Shriram Finance Ltd	11.30%	15.90%	20.33%	3.99
3	Cholamandalam Investment & Finance Company Ltd	10.40%	20.20%	17.85%	6.86

Cash Flow Analysis



Stock Price Performance

Valuation Dashboard

Market Cap	■ 2,473,272 Cr
PE Ratio	69.20
PB Ratio	4.11
Dividend Yield	0.27%
Valuation	Expensive